Microsoft Azure Subscription Policy

SECTION 1 — BILLING DETAILS

1. Subscription Plans and Account Types

Microsoft Azure subscription billing operates under multiple account structures designed to support individual users, developers, partners, and enterprise organizations. Billing responsibility is assigned to the registered billing account owner or designated enterprise administrator.

1.1 Free Trial Subscription

Pricing Model: Promotional credit–based usage billing.

Billing Account Structure:

- Linked to a personal or organizational billing profile.
- Single subscription associated with one account owner.

Promotional Credit Duration:

- Promotional credits remain valid for **30 calendar days** or until fully consumed, whichever occurs first.

Invoice Generation Method:

- No invoices are generated while promotional credits remain available.
- A standard usage invoice is generated automatically once credits expire or paid services are enabled.

Supported Payment Methods:

- Credit or debit card.
- Verified digital payment authorization.

Operational Billing Behavior:

- Charges begin automatically when:
    - Promotional credits expire.
    - Paid resources are activated beyond trial limits.
- Active services such as compute instances or storage accounts continue running unless manually stopped.

1.2 Pay-As-You-Go Subscription

Pricing Model: Usage-based billing.

Billing Account Structure:

- Individual billing account owner responsible for all subscription charges.
- Multiple subscriptions may exist under one billing account.

Promotional Credits:

- Not included by default.

Invoice Generation Method:

- Monthly invoices generated at the end of each billing cycle.

Supported Payment Methods:

- Credit card.
- Debit card.
- Authorized electronic payment mandate.

Operational Billing Behavior:

- Charges accumulate continuously based on resource consumption.
- Billing occurs even if users are not actively logged into the platform.

1.3 Enterprise Agreement Subscription

Pricing Model: Contractual agreement with negotiated pricing.

Billing Account Structure:

- Managed through enterprise enrollment administrators.
- Multiple departments or cost centers may operate under one enterprise billing profile.

Credit Duration:

- Annual monetary commitments or negotiated credits may apply.

Invoice Generation Method:

- Monthly or quarterly consolidated invoices.

Supported Payment Methods:

- Corporate invoice settlement.
- Bank transfer agreements.

Operational Billing Behavior:

- Consumption exceeding contractual commitment generates additional charges.
- Renewal billing may occur automatically according to enterprise agreement terms.

1.4 Developer/Test Subscription

Pricing Model: Discounted usage-based billing intended for development and testing workloads.

Billing Account Structure:

- Linked to verified developer credentials or enterprise development programs.

Promotional Benefits:

- Monthly development credits may be allocated.

Invoice Generation Method:

- Invoice generated when consumption exceeds allocated development credit.

Supported Payment Methods:

- Credit card or enterprise billing agreement.

Operational Billing Behavior:

- Production usage outside allowed scenarios may incur standard commercial pricing.

1.5 Microsoft Partner Subscription

Pricing Model: Reseller or partner-managed subscription.

Billing Account Structure:

- Billing responsibility assigned to partner organization.
- End customers may receive invoices through partner agreements.

Credit Duration:

- Promotional or reseller-managed credits vary per contract.

Invoice Generation Method:

- Partner-generated consolidated billing.

Supported Payment Methods:

- Enterprise partner settlement terms.

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2. Usage-Based Billing Terms

Azure billing is based primarily on metered resource consumption.

2.1 Resource-Based Billing

Charges are calculated according to active resource usage including:

- Virtual Machines (compute hours).
- Storage Accounts (capacity and transactions).

- Networking resources (data transfer and IP allocation).
- Databases and managed services.

Billing meters measure:

- Runtime duration.
- Data processed.
- Provisioned capacity.

Stopping user interaction with a service does not automatically stop billing unless the resource itself is stopped or deleted.

2.2 Billing Account Ownership Responsibility

The billing account owner or enterprise administrator is responsible for:

- Monitoring subscription usage.
- Managing access permissions.
- Preventing unintended deployments.

Resources created by authorized users under the subscription generate charges against the billing account regardless of which user initiated deployment.

2.3 Invoice Generation Timing

Invoices are generated:

- At the end of each billing cycle.
- Upon promotional credit exhaustion.
- Following enterprise billing reconciliation.

Invoices include:

- Metered usage breakdown.
- Taxes and regional charges.

- Previous unpaid balances.

Payment authorization occurs automatically if a recurring payment method is configured.

2.4 Credit Consumption Behavior

Promotional or enterprise credits are applied in the following order:

1. Promotional credits.
2. Enterprise monetary commitment.
3. Standard billing payment method.

Unused credits expire according to subscription terms and cannot be converted into monetary refunds.

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3. Auto Billing and Charge Scenarios

The following scenarios explain common billing deductions.

3.1 Active Resource Billing

Charges may occur when:

- Virtual machines remain running continuously.
- Storage accounts retain allocated capacity.
- Database services remain provisioned.

Example:

A customer may observe a ₹5000 deduction because multiple virtual machines remained active throughout the billing period despite no active user login.

3.2 Promotional Credit Expiry

After promotional credits expire:

- Running resources automatically transition to paid billing.
- Charges accumulate without interruption.

Example:

If trial credits expire while databases remain deployed, billing begins immediately.

3.3 Enterprise Agreement Renewal

Enterprise agreements may automatically renew according to contract schedules.

Billing scenarios include:

- Renewal commitment charges.
- Overconsumption billing beyond committed spend.

Enterprise administrators receive renewal notifications through registered contacts.

3.4 Failed Payment Retry Attempts

If payment authorization fails:

- Automated retry attempts occur periodically.
- Multiple invoices may combine into a single deduction once payment succeeds.

Late payment may temporarily restrict subscription functionality.

3.5 Multiple Subscription Charges

A single billing account may contain multiple subscriptions.

Charges may accumulate when:

- Development subscriptions remain active.
- Test environments continue running.

Example:

Customers may observe larger deductions due to combined billing across multiple subscriptions.

SECTION 2 — SUBSCRIPTION REFUND POLICY

Refunds are evaluated individually based on subscription usage and policy eligibility.

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1. Refund Eligibility Conditions

Refund requests may be considered under the following situations:

- Accidental activation of paid services.
- Billing errors identified after invoice generation.
- Unauthorized deployment verified through account investigation.

Eligibility requires verification of account activity and usage logs.

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2. Non-Refundable Usage

Refunds are generally not approved for:

- Consumed compute hours.
- Data transfer usage.
- Long-running storage allocations.
- Services used during active billing periods.

Once resources generate measurable consumption, charges are considered fulfilled service delivery.

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3. Promotional Credit Refund Limitations

Promotional credits:

- Cannot be refunded as monetary value.
- Cannot be transferred to other accounts.
- Expire automatically at the end of the promotional period.

Charges incurred after credit expiration remain billable.

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4. Enterprise Support Plan Refund Review

Enterprise support services may be reviewed for refunds when:

- Support services were not provisioned.
- Duplicate billing occurred.

Partial refunds may be issued if service delivery was limited.

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5. Refund Request Submission Process

Customers must submit a refund request through a support ticket.

Required information includes:

- Subscription ID.
- Invoice reference number.
- Description of billing concern.
- Approximate charge amount.

Support requests must originate from:

- Billing account owner.
- Enterprise administrator.
- Authorized partner contact.

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6. Refund Eligibility Time Window

Refund requests must be submitted within:

- **30 days from invoice generation date** for Pay-As-You-Go subscriptions.
- Enterprise timelines defined under contractual agreement.

Requests outside this window may be declined.

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7. Partial Refund Considerations

Partial refunds may be evaluated when:

- Resources were unintentionally deployed briefly.
- Services were immediately terminated after discovery.

Factors considered include:

- Duration of active usage.
- Data consumption volume.
- Customer billing history.

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8. Refund Approval Review Process

Refund evaluations include:

- Usage telemetry review.
- Deployment activity audit.
- Payment authorization verification.

Decisions are issued by billing review teams.

Approval outcomes:

- Full refund.
- Partial refund.

- Refund denial.

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9. Refund Processing Duration

Approved refunds are processed within:

- 7–14 business days.

Refunds are issued using:

- Original payment method where available.
- Enterprise credit adjustment for contract billing.

Processing time may vary depending on banking institutions.

SECTION 3 — CANCELLATION TERMS AND PROCEDURE

Subscription cancellation stops future billing but requires resource management prior to closure.

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1. Subscription Cancellation via Azure Portal

Customers may cancel subscriptions using the following steps:

1. Sign in to the Azure portal.
2. Navigate to Subscription Management.
3. Select the active subscription.
4. Review active services.
5. Select “Cancel Subscription.”
6. Confirm cancellation request.

Cancellation requests must originate from:

- Billing account owner.
- Enterprise administrator.

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2. Resource Shutdown Requirements

Customers should stop or remove active resources before cancellation.

Recommended actions:

- Stop virtual machines.
- Delete storage accounts.
- Remove networking allocations.

Active resources may continue generating charges during shutdown processing.

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3. Billing Responsibility During Cancellation

Charges may still occur when:

- Resources remain active during cancellation processing.
- Deprovisioning operations require compute time.

Immediate cancellation does not retroactively remove previously accumulated charges.

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4. Immediate Cancellation vs End-of-Cycle Closure

Customers may choose:

Immediate Cancellation

- Subscription disabled immediately.
- Running services stopped.

Outstanding usage remains billable.

End-of-Billing-Cycle Closure

- Services remain active until billing cycle completion.
- No renewal charges generated afterward.

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5. Enterprise Agreement Termination

Enterprise customers must follow contractual termination procedures:

- Written notification through enterprise administrator.
- Compliance with contractual notice periods.

Early termination fees may apply depending on agreement terms.

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6. Confirmation Notification

After cancellation:

- Email confirmation sent to registered billing contacts.
- Subscription status updated in portal dashboard.

Cancellation timestamp determines billing responsibility cutoff.

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7. Data Retention Period

After cancellation:

- Data retained for up to **30 days**.

During this period:

- Subscription may be reactivated.
- Resources may be restored if available.

After retention expiration:

- Data deletion becomes permanent.

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8. Subscription Reactivation Conditions

Reactivation may be allowed when:

- Requested within retention period.

- Outstanding balances are cleared.

Reactivation restores billing immediately under existing pricing terms.